BUSINESS STRATEGY

Suggested Answers
March-April 2024

Answer to the Question# 1(a & b):

Memorandum

To The Board of Directors, Hawai Mithai Foods Inc
From A Consultant
Date Today
Subject Proposed entry into Country Y's chocolate market

Part A: Assessment of Competitive Forces Using Porter's Five Forces Model

1. **Threat of New Entrants**
    - **Barriers to Entry:**
        - High brand loyalty and strong brand identities of existing firms in Country Y make it difficult for new entrants to gain market share.
        - Significant capital investment required for production, distribution, and marketing.
    - **Economies of Scale:**
        - Established players benefit from economies of scale, lowering their production costs and creating a cost advantage over new entrants.
    - **Access to Distribution Channels:**
        - Existing firms have established relationships with grocery outlets and non-grocery outlets (newsagents, kiosks), making it harder for new entrants to secure shelf space.
2. **Bargaining Power of Suppliers**
    - **Raw Material Costs:**
        - Cocoa prices are fluctuating, and companies in the industry typically absorb these price variations to keep retail prices stable.
    - **Supplier Concentration:**
        - If suppliers are few and concentrated, their bargaining power increases. However, if there are multiple suppliers for cocoa and other ingredients, the bargaining power remains moderate.
3. **Bargaining Power of Buyers**
    - **Consumer Preferences:**
        - High consumer loyalty to existing brands can reduce the bargaining power of buyers, as switching costs are significant.
    - **Availability of Substitutes:**
        - Availability of various chocolate products and brands gives consumers choices, increasing their bargaining power.
4. **Threat of Substitute Products**
    - **Alternative Snacks:**
        - Other confectionery products, snacks, and healthier options can serve as substitutes, posing a moderate threat.
    - **Holiday Period Purchases:**
        - Boxed chocolates, primarily purchased as gifts during holidays, face limited substitutes, reducing this threat during peak seasons.

5. **Industry Rivalry**
    - **Market Share Distribution:**
        - The market is dominated by a few large firms (Firm A, Firm B, and Firm C), each with substantial market shares.
    - **Marketing and Advertising:**
        - Intense competition in marketing and advertising, with high expenditure to maintain brand presence and consumer loyalty.
    - **Product Differentiation:**
        - Firms offer a variety of products (blocks, countlines, boxed chocolates) which helps in differentiating and reducing direct rivalry.

Part B: Strategic Recommendations

1. **Market Entry Strategy:**
    - **Strategic Partnership:**
        - Form partnerships with local distributors and retailers to establish a presence in grocery and non-grocery outlets.
    - **Acquisition:**
        - Consider acquiring a local firm with an existing distribution network to facilitate a smoother entry and reduce initial setup costs.
    - **Joint Ventures:**
        - Engage in joint ventures with local firms to leverage their market knowledge and reduce entry barriers.
2. **Product Strategy:**
    - **Leverage Core Strengths:**
        - Introduce Hawai Mithai's best-selling chocolates in Country Y, focusing on unique flavors and premium quality to differentiate from competitors.
    - **Localized Products:**
        - Develop products that cater to local tastes and preferences, including special editions for holiday seasons.
    - **Brand Building:**
        - Invest in marketing campaigns to build brand awareness and loyalty, highlighting the success in Country X and the uniqueness of Hawai Mithai chocolates.
3. **Cost Management:**
    - **Efficiency in Production:**
        - Optimize production processes to manage costs effectively, taking advantage of economies of scale and technological advancements.
    - **Supply Chain Management:**
        - Develop a robust supply chain to ensure consistent quality and cost control of raw materials, especially cocoa.
4. **Distribution and Marketing:**
    - **Multi-Channel Distribution:**
        - Utilize both grocery and non-grocery outlets for broad market coverage, ensuring availability of products across various points of sale.
    - **Targeted Advertising:**
        - Focus advertising efforts on high-traffic periods (holiday seasons) and leverage digital marketing to reach a broader audience.
    - **Promotions and Sampling:**
        - Implement promotional activities and free sampling to introduce products to consumers and encourage trial purchases.

5. **Innovation and Product Development:**
    - **Continuous Innovation:**
        - Invest in R&D to develop new chocolate products and variants, keeping up with consumer trends and preferences.
    - **Limited Edition Products:**
        - Launch limited edition products for special occasions and holidays to drive sales and create buzz.

Conclusion

Expanding into Country Y presents a significant opportunity for Hawai Mithai Foods Inc. However, careful consideration of the competitive forces and strategic planning is crucial for success. By leveraging strategic partnerships, focusing on core strengths, managing costs effectively, and investing in marketing and innovation, Hawai Mithai can establish a strong foothold in Country Y and pave the way for further expansion in South Asia.

Answer to the Question# 2:

Part A: Analysis of the Mission Statement

Contradictory Nature of the Mission Statement

EMC Ltd's mission statement aims to "maximize profits for its valued shareholders and at the same time recognize its wider responsibilities to the societies in which it operates." This statement appears contradictory for the following reasons:

1. **Profit Maximization vs. Social Responsibility:**
    - Profit maximization often entails cost-cutting measures that can lead to negative externalities, such as environmental degradation and social displacement. In the case of the Moulovi Bazar mining project, making the land good post-mining would render the project unprofitable, which conflicts with the goal of profit maximization.
2. **Environmental Impact:**
    - The removal of all trees and grass and the creation of contaminated water lakes for up to thirty years directly contradicts the notion of social responsibility, which should ideally include environmental stewardship and sustainability.
3. **Community Impact:**
    - The opposition from local communities due to increased traffic, noise, and possible relocation highlights the social discord that can arise from purely profit-driven activities.

Part B: Establishing a Procedure for Considering Wider Responsibilities

To ensure that EMC Ltd consistently considers its wider responsibilities to society, the company can implement the following procedure:

1. **Stakeholder Analysis:**
    - Identify all stakeholders affected by the mining activities, including local communities, employees, environmental groups, and government bodies.
2. **Impact Assessment:**

    - Conduct comprehensive environmental and social impact assessments (ESIA) before initiating any project. This should include the long-term environmental effects and the socio-economic impact on local communities.
3. **Sustainability Committee:**
    - Establish a sustainability committee responsible for overseeing the implementation of environmentally and socially responsible practices. This committee should include representatives from various stakeholder groups.
4. **Transparent Reporting:**
    - Adopt transparent reporting mechanisms, such as annual sustainability reports, to disclose the environmental and social impacts of the company's operations.
5. **Continuous Improvement:**
    - Regularly review and update policies and practices based on feedback from stakeholders and advancements in sustainable mining practices.

Part C: Strategies to Prevent Conflict of Objectives

To prevent conflicts between profit maximization and social responsibility, EMC Ltd can adopt the following strategies:

1. **Integrated Decision-Making:**
    - Incorporate environmental and social considerations into the core decision-making process. This ensures that potential conflicts are identified and addressed early.
2. **Corporate Social Responsibility (CSR) Programs:**
    - Invest in CSR initiatives that benefit the local community, such as infrastructure development, education, and healthcare. This can help mitigate negative impacts and foster goodwill.
3. **Sustainable Mining Practices:**
    - Implement sustainable mining practices that minimize environmental damage, such as reforestation projects, proper waste management, and water treatment facilities.
4. **Community Engagement:**
    - Engage with local communities through regular consultations and participatory decision-making processes to address their concerns and incorporate their inputs into project planning.
5. **Balancing Short-term and Long-term Goals:**
    - Balance short-term profitability with long-term sustainability goals. Investing in environmental restoration and community development may incur initial costs but can lead to long-term benefits and risk mitigation.

Part D: Ethical Dimensions of Mining Emeralds in Moulovi Bazar

Environmental Ethics:

- The significant environmental degradation resulting from mining activities raises ethical concerns. The destruction of natural habitats and the long-term contamination of water sources contradict principles of environmental stewardship and sustainability.

Social Justice:

- The likely displacement of local communities and the disruption of their livelihoods pose ethical issues related to social justice and equity. The interests and rights of these communities should be safeguarded against the pursuit of profit.

Intergenerational Responsibility:

- The long-lasting environmental damage caused by the mining operations affects not only the current population but also future generations. Ethical considerations should include the duty to preserve the environment for future inhabitants.

Transparency and Accountability:

- Ethical business practices require transparency and accountability in operations. EMC Ltd must ensure honest communication with all stakeholders and hold itself accountable for the environmental and social impacts of its activities.

Corporate Integrity:

- Upholding corporate integrity means aligning actions with stated values. EMC Ltd's commitment to social responsibility should be reflected in tangible efforts to mitigate negative impacts and contribute positively to the communities and environments in which it operates.

Answer to the Question# 3(a)(i):

Under budget A: let assume sales = R
Then R-0.12 R-180-296=0
Then 0.88 R=476
Then R=541= BDT 5 41,000

Answer to the Question# 3(a)(ii):

Under Budget B: 0 .5R+rent-0.12 R-90-294=profit/loss
When R=541000
Then .5(541)+210-0.12 (541)-90-294=profit or loss
Then 31,58=31580 profit.

Answer to the Question# 3(b):

Memorandum:

KBCL has competed successfully to date having built up a good reputation in its five saloons. However, the problem facing the fir mis the need to invest BDt I million to refurbish salons, when raising this sum could be difficult.

For most purposes the five saloons should be considered separately.

Having been opened at different times they do not all need refurbishing at the same time. The figure of 1 mil should be examined to see if costs, and hence further finance, can be staggered.

Customers will be loyal to particular stylist, so are unlikely to frequent more than one saloon. Different prices could thus be charged to reflect reputation and demand.

Not all the shops have to be sold at the same time. Those with the lowest profits could be sold and the others kept. However, so far as renting is concerned, it may be better to adopt one policy across the company. Stylist in one town may be interested in other town and difficult to distribute chairs.

Specific options:

Renting out chairs

Pros/favourable issues	Cons/negative issues
A fourfold increase in profit	Scheme may be rejected by the stylists as they may have to face loss: Revenue 275 –rent 210-salary forgo ne 90= Loss 25
Reduced exposure to downside risks. If a stylist loses clients then KBCl still gets the rent	To break even stylists would need to increase business by 15% over last year revenue. This represent high risk undertaking for them, although they have stronger incentives
May enable KBCL to keep its best stylists who might otherwise leave to set up on their own.	Reduced upside potential particularly as the best stylist are likely to be most keen on chair renting, if refused they may leave.
Reduced fixed cost and hence lower risk	Control issues- for example there may be conflict on allocating new clients to stylists.
Improve flexibility	
Reduce bank funding requirements as staff costs saved can be spent for refurbishing	

Unisex salons

Pros/ favourable issues	Cons/ negative issues
Diversification of risk	Potential loss of female customers who prefers the atmosphere of ladies salon.
Extra income from male customer	Existing stylists may experience of men's fashions so further or staff cost will be incurred.
Men are becoming more concerned with health and beauty issues, so this could be a chance to tap into a growing market	Lack of competitive advantage as men are unlikely to be impressed by the reputation of ladies' stylists
	Does not really help the finance problem

Setting in departmental store

Pros/favourable issues	Cons/ negative issues
Can still capitalize on the main strength of KBCL-as brand name and the reputation of its stylists	Cost of closing the existing saloons such as cancelling the contract, moving equipment etc.
Lower running cost	Negotiating a suitable contract with the store especially with set-up cost, profit share, rentals cost, etc.
Increase in image by being associated with a prestigious store resulting in higher profits and lower risk.	Funding a prestigious store not already tied into existing agreements. It would be a mistake for KPCL to do a deal with a down market store.
Lower financing requirement	
Potential for further growth if the store has branches in other places.	

Selling out to chain store

Pros/ favourable issues	Cons/ negative issues

Consideration will enable the shareholders to repay the second mortgage over their homes and will solve the financing problem discussed above.	The most likely form of sale would be an earn-out forcing the two directors to keep running KPCL for, say, the next two years. This may not be fit in with their plans.
Capitalises on existing reputation of KBCL and quality of its stylists	Restriction of trade agreements in the sales contract may stop the directors earning sny money.
	Problem in valuing the business

Recommendations

The main strength of this type of business is its stylists. Conversion to unisex salons does not capitalise on the strength and so should be discounted. Renting out chairs will not help profitability: profits will go down if the best stylists are given the chance to rent and they will be lost if not given the chance. Opening concessions could resolve financing problems if a suitable contract could be negotiated, but on balance the option of selling out seems the most attractive enable the owners to resolve their financing problem.

Answer to the Question# 4:

Part A: Importance of HRM and Employee Motivation in Tourism and Hospitality Industry

Importance of HRM:

1. **Employee Performance:**
    - HRM plays a critical role in recruiting, training, and developing employees. Effective HRM ensures that employees have the necessary skills and motivation to perform their duties, which directly impacts the quality of service provided to guests.
2. **Employee Retention:**
    - By implementing effective HRM practices, SBH can reduce turnover rates and retain skilled employees. Retention is crucial in maintaining service quality and reducing costs associated with hiring and training new employees.
3. **Employee Satisfaction:**
    - HRM is essential in creating a positive work environment. When employees are satisfied with their job conditions, compensation, and growth opportunities, they are more likely to deliver exceptional service, enhancing customer satisfaction and loyalty.

Importance of Employee Motivation:

1. **Enhanced Performance:**
    - Motivated employees are more productive and efficient in their roles. This leads to better customer service and operational performance.
2. **Job Satisfaction and Loyalty:**
    - Motivated employees are more likely to feel satisfied with their jobs, leading to higher loyalty and reduced turnover. This stability is beneficial for maintaining consistent service quality.
3. **Innovation and Improvement:**
    - Motivated employees are more likely to contribute ideas for improvements and innovations, which can help SBH stay competitive in the hospitality industry.

Part B: HRM Related Problems in Tourism and Hospitality Industry

1. **High Turnover Rates:**
    - The industry is known for high employee turnover, which can lead to increased costs and disruptions in service quality.
2. **Seasonal Employment:**
    - The demand for labor fluctuates with seasons, making it challenging to maintain a stable workforce throughout the year.
3. **Work-Life Balance:**
    - Employees often face long and irregular working hours, which can affect their work-life balance and lead to burnout.
4. **Training and Development:**
    - Continuous training is necessary due to the dynamic nature of the industry. However, providing consistent and effective training can be challenging and costly.

Part C: Measures to Reduce Employee Turnover

1. **Competitive Compensation and Benefits:**
    - Ensure that salaries, allowances, bonuses, and other benefits are competitive within the industry. Regularly review and adjust compensation packages to retain top talent.
2. **Career Development Opportunities:**
    - Provide clear career paths and opportunities for advancement. Implement regular training and professional development programs to help employees grow within the company.
3. **Work-Life Balance:**
    - Offer flexible working hours and ensure that employees have adequate time off to rest and recharge. This can help reduce burnout and improve job satisfaction.
4. **Positive Work Environment:**
    - Foster a supportive and inclusive work culture. Encourage teamwork, recognize achievements, and address any workplace issues promptly to maintain a positive work atmosphere.

Part D: Advice on Current Recruitment Policy

1. **Targeted Recruitment:**
    - Focus on recruiting individuals with specific experience in the hospitality and tourism industry. This ensures that new hires have the necessary skills and can quickly adapt to their roles.
2. **Employee Referrals:**
    - Implement an employee referral program where current employees can recommend potential candidates. This can help attract reliable and competent individuals who are more likely to fit into the company culture.
3. **Partnerships with Educational Institutions:**
    - Establish partnerships with hospitality and tourism schools to create a pipeline of talented graduates. Offer internships and training programs to identify and recruit promising students.
4. **Comprehensive Onboarding:**
    - Develop a robust onboarding process that includes thorough training and orientation. This helps new employees understand their roles, the company culture, and expectations, leading to better performance and retention.
5. **Regular Recruitment Reviews:**

- Periodically review the recruitment process to identify areas for improvement. Use metrics such as time-to-hire, quality of hire, and employee retention rates to assess the effectiveness of the recruitment strategy.

Answer to the Question# 5:

Part A: Role and Importance of Pricing in Marketing Effort

i) Role and Importance of Pricing

1. **Revenue Generation:**
   - Pricing is the primary source of revenue for a company. Effective pricing strategies ensure that the company can cover costs and generate profit, which is essential for growth and sustainability.
2. **Market Positioning:**
   - Pricing helps position the product in the market. High prices can position a product as premium or luxury, while lower prices can indicate value or budget-friendly options. This positioning affects the target audience and brand perception.
3. **Competitive Advantage:**
   - Strategic pricing can provide a competitive edge. By setting prices competitively, a company can attract customers away from competitors, increase market share, and build customer loyalty.
4. **Customer Perception:**
   - Pricing influences how customers perceive the value of a product. If priced correctly, customers will feel they are getting good value for their money, which can enhance satisfaction and repeat purchases.

ii) Competitor-Based Pricing vs. Demand Market-Based Pricing

1. **Competitor-Based Pricing:**
   - **Definition:**
     - This method involves setting prices based on the pricing strategies of competitors. The focus is on matching or beating competitors' prices to remain competitive in the market.
   - **Advantages:**
     - Easy to implement as it relies on readily available competitor pricing information.
     - Helps maintain market position relative to competitors.
   - **Disadvantages:**
     - May not reflect the true value or cost of the product.
     - Can lead to price wars, eroding profit margins.
2. **Demand Market-Based Pricing:**
   - **Definition:**
     - This method sets prices based on customer demand and perceived value. Prices are adjusted according to how much customers are willing to pay for the product.
   - **Advantages:**
     - Can maximize revenue by capturing consumer surplus.
     - Reflects the true value of the product as perceived by customers.
   - **Disadvantages:**
     - Requires thorough market research and understanding of customer behavior.

- Pricing can fluctuate significantly with changes in demand, potentially confusing customers.

Part B: Branding and Relationship Marketing for Automobile Industry

i) Concept and Importance of Branding

1. **Branding Concept:**
   - Branding involves creating a unique identity and image for a product in the consumer's mind through the use of names, logos, slogans, and design elements. It differentiates a product from competitors and builds recognition and loyalty.
2. **Importance of Branding:**
   - **Recognition and Recall:**
     - A strong brand helps customers easily recognize and recall the product, which is crucial in a crowded market.
   - **Trust and Loyalty:**
     - Consistent branding builds trust and loyalty. Customers are more likely to purchase from a brand they trust and recognize.
   - **Competitive Differentiation:**
     - Branding sets a product apart from competitors, highlighting unique features and benefits.
   - **Perceived Value:**
     - A strong brand can command premium pricing as customers associate it with higher quality and value.

ii) Relationship Marketing to Attract and Retain Customers

1. **Concept of Relationship Marketing:**
   - Relationship marketing focuses on building and maintaining long-term relationships with customers rather than just transactional interactions. It aims to enhance customer satisfaction and loyalty through personalized interactions and value-added services.
2. **Strategies for Relationship Marketing:**
   - **Customer Engagement:**
     - Engage customers through personalized communication, social media interaction, and community-building activities. This creates a sense of belonging and loyalty.
   - **Loyalty Programs:**
     - Implement loyalty programs that reward repeat customers with discounts, exclusive offers, or points that can be redeemed for rewards. This encourages repeat business.
   - **Customer Feedback:**
     - Regularly solicit and act on customer feedback to improve products and services. Showing customers that their opinions matter strengthens the relationship.
   - **Personalized Services:**
     - Offer personalized services and recommendations based on customer preferences and purchase history. This enhances the customer experience and satisfaction.
   - **After-Sales Support:**
     - Provide excellent after-sales support, including maintenance services, warranties, and customer service. This reassures customers and fosters long-term loyalty.

Answer to the Question# 6(a):

'Value chain' describes the full range of activities which are required to bring a product or service from conception, through the intermediary of production, delivery to final consumers, and final disposal after use. It is a way of looking at a business as a chain of activities that transform inputs into outputs that customers value. Customer value derives from three basic sources:

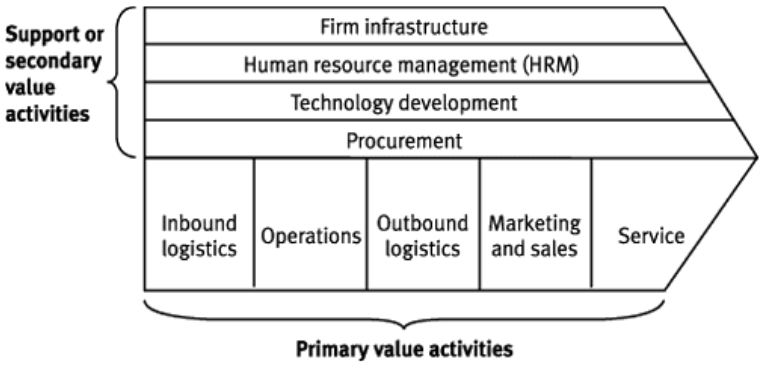
1. activities that differentiate the product
2. activities that lower its cost
3. activities that meet the customer's need quickly.

The value chain includes a profit margin since a markup above the cost of providing a firm's value-adding activities is normally part of the price paid by the buyer by creating value that exceeds cost so as to generate a return for the effort.

'Value chain analysis' views the organisation as a sequential process of value-creating activities, and attempts to understand how a business creates customer value by examining the contributions of different activities within the business to that value. Value activities are the physically and technologically distinct activities that an organisation performs. Value analysis recognizes that an organisation is much more than a random collection of machinery, money and people. These resources are of no value unless they are organised into structures, routines and systems, which ensure that the products or services that are valued by the final consumer are the ones that are produced.

Answer to the Question# 6(b):

Porter describes two different categories of activities.



The primary activities, in the lower half of the value chain are grouped into five main areas:

1. Inbound logistics are the activities concerned with receiving, storing and handling raw material inputs.
2. Operations are concerned with the transformation of the raw material inputs into finished goods or services. The activities include assembly, testing, packing and equipment maintenance.
3. Outbound logistics are concerned with the storing, distributing and delivering the finished goods to the customers.
4. Marketing and sales are responsible for communication with the customers e.g. advertising, pricing and promotion.

5. Service covers all of the activities that occur after the point of sale e.g. installation, repair and maintenance.

Alongside all of these primary activities are the secondary, or support, activities of procurement, technology development, human resource management and firm infrastructure. Each of these cuts across all of the primary activities, as in the case of procurement where at each stage items are acquired to aid the primary functions.

Answer to the Question# 6(c):

The key problem areas are as follows:

1. Inbound logistics at Akter Furniture has problems with the procurement of the raw materials, labour and machinery. The company is buying its raw materials one year in advance of using it. This must be tying up capital that could be used to purchase new machinery and tools. Storing the timber entails large amounts of money being tied up in stocks, which are prone to damage, restrict the production area and is very slow moving. The workmen are being paid by the hour rather than by the piece and this means that they have little incentive to work harder.

2. Operations are concerned with the transformation of the raw material inputs into finished goods or services. At Akter Furniture, employees work at their own pace on the assembly of the household and garden seats and tables, using very basic tools. The production methods used make the finished product relatively expensive. The linkages between the support activities are also causing some problems. Both the owner and the foreman have no human resources management skills. Technological development is non-existent and the company needs re-structuring.

3. Outbound logistics are concerned with storing, distributing and delivering the finished goods to the customers. Woodsy does not seem to have a system for distributing and delivering its goods.

4. Marketing and sales are responsible for communication with the customers e.g. advertising, pricing and promotion. This seems to be non-existent at Akter Furniture as, in the past, satisfied customers have passed on their recommendations to new customers. The company relies on its position on a busy road intersection to displays its products, for customers to carry away themselves.

Answer to the Question# 6(d):

For Mr Binoy, the main task is to decide how individual activities might be changed to reduce costs of operation or to improve the value of the organisation's offerings. Therefore, the recommendations would include the following:

1. The business needs managing full-time. A new manager, or assistant manager, could encourage Mr Binoy to streamline the manufacturing process, introduce new technologies and new production and administrative systems. He or she could also negotiate new payment methods to give the workforce an incentive to work harder.

2. To increase the production area the alternative strategies that the company could explore include storing the timber elsewhere, or purchasing it after it has dried out and seasoned.

3. Holding high levels of finished goods might give a faster customer response time but will probably add to the total cost of operations.

4. The purchase of more expensive power tools and equipment may lead to cost savings and quality improvements in the manufacturing process.

5. The company needs a marketing and sales department to research the market, inform the customers about the product, persuade them to buy it and enable them to do so. The product range may need to be extended and alternative outlets for the products sought.

---The End---